firms is definitely not more than in electronics components manufacturing. In EMS, everything is mechanised and automated, so not

much labour is required in EMS companies. However, when it comes to component manufacturing, it is more labour-oriented. If the government is serious about setting up a component industry, they will need to employ more labour, especially women, as physical labour is often required in electronics components manufacturing.

To further grow employment within the EMS sector, the current cap of ₹180 million should be removed because not all players within the EMS industry have that capacity or need to invest. But if they get incentives too—they will certainly grow their operations and hire more labour.”

Vinod Sharma, MD, Deki Electronics *(components):* “If you look at the finished goods industry where SKD is being done, the number of jobs for every crore (10 million) of turnover is about 0.5 to 1. However, in the EMS industry, where we are doing CKD, SKD, and even box packaging, the ratio is taken as 10 million for one person in terms of turnover. In passive component manufacturing, the number could be between two and five people per ten million of rupees of turnover.

In an EMS company, a person assembling a manual component on a PCB can be trained in a few

weeks, but in components manufacturing, many skill requirements are such that it will take the workforce 3-6 months just to come to the line.”

Rajoo Goel, Secretary-General, ELCINA *(trade association):* “Components manufacturing also

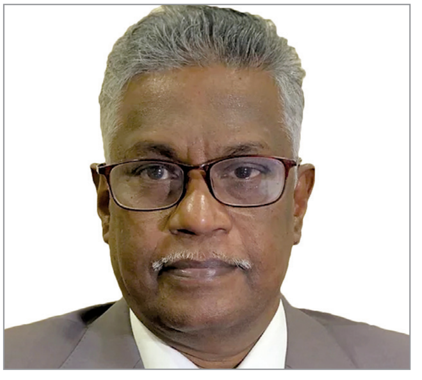
supports EMS and assembly manufacturing and, thus, is the building block of the ESDM ecosystem.”

Girish Vaze, CMD, Elcom International *(components):* “The statement that job creation is technically tough in electronic parts’ is incorrect. Electronic parts are of various types. There are some parts which require automation for final assemblies or processes, but there are an equal number of parts, most of which are electro-mechanical, that employ labour-intensive processes where automation is not feasible due to the high level of customisations and variations required.

Our experience is that our products have generated a lot of employment for assembly workers—both male and female—and also for semi-skilled and technical employees up the stream of product development. It is not only ESDM or assembly of mobile phones

that generate jobs but also the parts that are used for every type of electronic product, whether the end application is white goods, instrumentation, aerospace and defence, power electronics, automation, and others.”

M. Thiyagarajan, President, IPCA *(trade association):* “The reality is that manufacturing electronics components in India will fuel growth across the entire industry.



With components currently being imported, manufacturers, including EMS firms, face significant fluctuations in both pricing and delivery.

Indirect employment dominates the electronics sector. For example, countries like the US are producing AI chips in large volumes, which not only generates jobs in that specific sector but also drives manufacturing in related electronics, ultimately